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Stanbic Holdings HY'25 Earnings Note

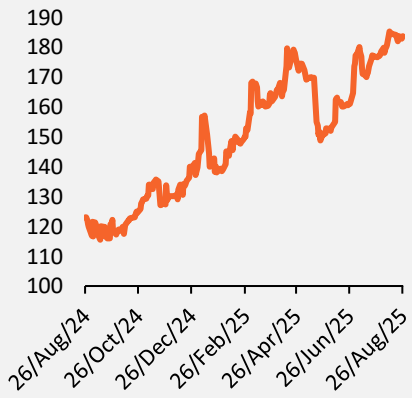
research@aib-axysafrica.com

Stanbic Bank HY'25 Earnings Note

August 27th, 2025

Ticker Information	
NSE Code:	SBIC
Issued Shares :	290,521,872
52-week high:	KES 186.00
52-week low:	KES 90.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	3.8%	20.3%	20.3%	49.9%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	KES 183.25	KES 186.11

Summary

- **Stanbic Holdings PLC posted a 9.2% y/y decline in HY'25 net earnings to KES 6.54Bn.** This was weighed down by a 5.8% y/y decline in net interest income to KES 11.83 Bn, as the loan and advances declined by 14.6% y/y to KES 308.73 Bn. On the bright side, margins were supported by a modest 0.9% y/y growth in non-funded income, which came in at KES 7.62 Bn.
- **The Board of Directors recommended an interim dividend of KES 3.80 per share,** underscoring continued commitment to shareholder returns.

Key Highlights

- **Dovish monetary policy weighs on interest income:** Net Interest Income declined by 5.8% y/y to KES 11.83 Bn from KES 12.55 Bn, reflecting the impact of an easing monetary policy. In addition, net interest income was pressured by the contraction in the loan book. The lender capitalized on the lower rate environment to mobilize cheaper deposits, reducing borrowing costs, and also deliberately offloaded expensive deposits to lower its overall cost of funds.
- **Non-Interest Income remains resilient:** Non-Interest Income edged up 0.9% y/y to KES 7.62 Bn from KES 7.56 Bn in H1'24, despite a 7.6% y/y decline in trading income driven by muted foreign exchange volatility that eroded margins, a trend observed across the banking sector. Given Stanbic Holdings' significant presence in the FX market, the decline was notable, though it was largely cushioned by strong growth in fees and commissions, which rose 9.0% y/y to KES 4.0 Bn.
- **Asset quality remains resilient**: The NPL ratio held relatively stable at 9.5%, well below the industry average of 17.6%, supported by the bank's clientele mix, which allows for closer monitoring and effective credit risk management. However, the Gross NPL ratio rose by 1.0% point to 7.8% from 6.8%, largely attributable to contraction in the loan book. The lender increased provisioning to KES 13.10 Bn from KES 12.50 Bn, lifting the coverage ratio to 82.7%. Key to note, 81.20% of the NPLs remains in stage one.

Balance Sheet Dynamics

The bank's balance sheet reflected a shift in asset allocation and funding pressures. Net loans contracted by 14.6%y/y to KES 308.73B declining from KES 361.40Bn, partly linked to subdued credit uptake in the country. Conversely, the bank significantly increased its exposure in government fixed-income instruments, with securities climbing by 45.2%y/y to KES 108.39 Bn from KES 74.60Bn. This reallocation underscores a defensive strategy, with government securities offering more stable returns, while also reflecting caution over prevailing borrower distress, as evidenced by the elevated industry NPL ratio. On the funding side, customer deposits declined by 9.6%y/y, dropping to KES 350.43 Bn in 2025 from KES 387.57 Bn. The contraction in deposits may point to heightened liquidity pressures in the market and increased competition for funding.

Operating-Efficiency

The Group sustained strong cost discipline with a Cost-to-Income ratio of 55.7% (including provisions) and 48.3% (excluding), in line with efficiency targets. Operating expenses were contained at KES 10.84Bn, reflecting ongoing digital investments and network optimization. A 25.6% y/y decline in credit impairment charges further supported costs, highlighting prudent risk management and improving asset quality.

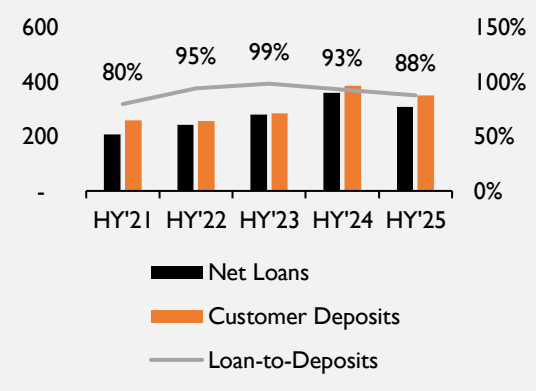
Outlook

Stanbic Holdings showcased resilience through strong ROE, disciplined asset quality and strategic diversification across business segments. Regional operations, including Sudan, present both challenges and opportunities, while the asset management segment continues to boost fee-based income. We expect recovery in interest income going into the year, sustained non-interest growth and margin stability, supported by cost discipline, digital execution and regional trade flows. With strong capital buffers and a doubled interim dividend, Stanbic remains well-positioned to sustain shareholder value in H2'2025.

Recommendation

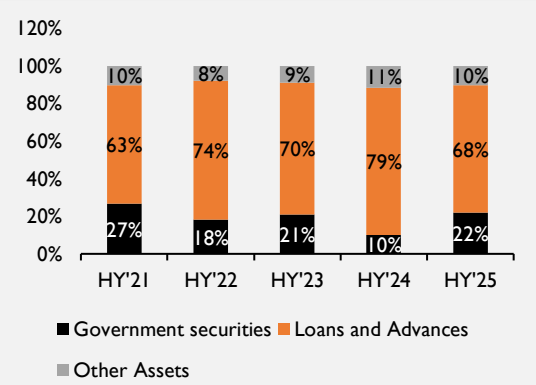
- **Our recommendation on Stanbic Holdings is *HOLD* on account of its continued improvement in return on equity and a solid growth in shareholder returns evidenced by a progressive dividend policy.** At the current market price, the stock is trading at P/E ratio of 4.8x and a P/B ratio of 1.0x. Our-one-year target price for Stanbic currently stands at KES 186.11 - representing a c. 1.56% upside potential from current levels.

Chart 2: Slower Deposit Mobilization



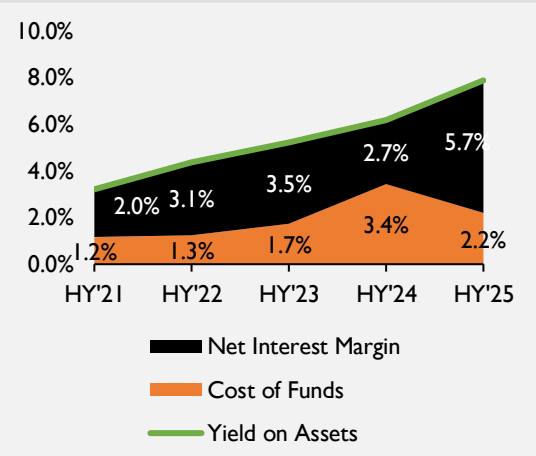
Source: Company filings, AIB-AXYS Research.

Chart 3: Asset Composition Mix



Source: Company filings, AIB-AXYS Research.

Chart 4: Easing Cost of Funds



Source: Company filings, AIB-AXYS Research.

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Income Statement (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y Change
Net Interest Income	6.90	8.34	12.05	12.55	11.83	▼ (5.8%)
Net non-Interest Income	5.48	6.86	8.90	7.56	7.62	▲ 0.9%
Total Operating income	**12.38**	**15.20**	**20.95**	**20.11**	19.45	▼ (3.3%)
Loan Impairment Provisions	(1.50)	(1.26)	(2.50)	(1.96)	(1.46)	▼ (25.6%)
Total Operating expenses	(7.56)	(8.60)	(11.21)	(10.08)	(9.39)	▼ (6.9%)
Profit before tax	**4.82**	**6.61**	**9.73**	**10.02**	**8.61**	▼ (14.1%)
Profit after tax	**3.50**	**4.80**	**7.05**	**7.21**	**6.54**	▼ (9.2%)
Core EPS Annualized	17.72	24.27	35.67	36.48	33.11	▼ (9.2%)
DPS	-	-	1.15	1.84	3.80	▲ 106.5%

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y Change
Government Securities	82.21	52.57	54.73	74.60	108.39	▲ 45.3%
Loans and Advances	207.63	244.04	281.39	361.40	308.73	▼ (14.6%)
Total Assets	**329.55**	**341.58**	**384.28**	**497.93**	**473.72**	▼ (4.9%)
Customer Deposits	259.99	258.23	285.38	387.57	350.43	▼ (9.6%)
Total Liabilities	276.04	283.39	320.33	428.57	399.45	▼ (6.8%)
Total Equities and Liabilities	**329.55**	**341.58**	**384.28**	**497.93**	**473.72**	▼ (4.9%)

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y Change
Spreads Analysis						
Yield on Assets	3.2%	4.4%	5.2%	6.2%	7.9%	▲ 1.7%
Cost of Funds	1.2%	1.3%	1.7%	3.4%	2.2%	▼ (1.2%)
Net Interest Margin	2.0%	3.1%	3.5%	2.7%	5.7%	▲ 3.0%
ROaE	11.9%	15.2%	18.5%	18.5%	19.3%	▲ 0.8%
ROaA	1.8%	2.5%	3.1%	2.8%	2.4%	▼ (0.4%)
Profit Margin	28.3%	31.5%	33.7%	35.9%	33.7%	▼ (2.2%)
Operating Efficiency						
Cost to Income Less LLP	48.9%	48.2%	41.6%	40.4%	48.3%	▲ 7.8%
Cost to Assets Less LLP	1.8%	2.1%	2.3%	1.6%	2.0%	▲ 0.3%
Loan to Deposit	79.9%	94.5%	98.6%	93.2%	88.1%	▼ (5.1%)
Asset Quality						
Gross NPL Ratio	10.0%	9.9%	8.5%	6.8%	9.1%	▲ 2.4%
NPL Coverage	51.2%	56.0%	57.5%	75.0%	82.7%	▲ 7.7%
Cost of Risk	0.7%	0.5%	0.9%	0.5%	0.5%	▼ (0.1%)
Capital Adequacy						
Core Capital/TRWA	16.0%	14.0%	13.9%	13.5%	15.2%	▲ 1.7%
Total Capital /TRWA	18.1%	16.2%	17.4%	16.4%	18.9%	▲ 2.5%
Liquidity	56.4%	35.9%	40.3%	52.8%	50.5%	▼ (2.3%)

CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Derivatives Trading

Email: Derivapplications@aib- axysafrica.com

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